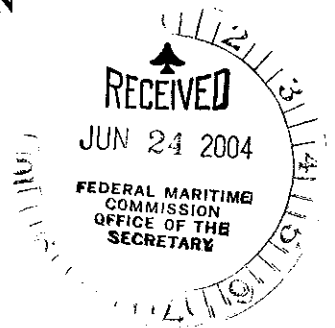


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ORIGINAL 022 (2)

BEFORE THE FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.



TRANS-NET, INC.

v.

FESCO OCEAN MANAGEMENT LIMITED

DOCKET NO. 04-07

COMPLAINT



I. COMPLAINANT

Trans-Net, Inc. ("Trans-Net") is a United States corporation operating as a non-vessel-operating common carrier ("NVOCC") in the United States foreign ocean commerce, including the trade between the United States and the Russian Far East, licensed by the Federal Maritime Commission ("Commission"). Trans-Net has served United States foreign commerce since 1999. Trans-Net is organized and existing pursuant to the laws of the State of Washington, with its principle place of business at 710 - 5th Avenue, Issaquah, Washington 98027. Trans-Net has a currently valid bond and license as an ocean transportation intermediary, license No. 16051N, pursuant to the provisions of the Shipping Act of 1984, as amended ("Shipping Act"). 46 U.S.C. *app.* § 1701, *et seq.*). At all times material to this Complaint, Trans-Net has operated

as an NVOCC in the United States foreign commerce pursuant to FMC Tariff No. 1. Trans-Net's current FMC Tariff is published at www.ratequest.net/etm.html. Trans-Net's mailing address is 710 - 5th Avenue, Issaquah, Washington 98027.

II. RESPONDENT

Respondent FESCO Ocean Management Limited ("FOML") is, on information and belief, a corporation organized outside the United States. The Commission's web site shows that FOML publishes an ocean common carrier tariff at www.ratequest.net/etm.html. FOML is, on information and belief, owned and controlled, directly or indirectly, by Far Eastern Shipping Company ("FESCO"), a non-U.S. company that does not appear to have a published ocean common carrier tariff. FOML's mailing address is 1 Costakis Pantelides Avenue, 3rd/5th, 1010 Nicosia, Cyprus and in the United States it is c/o FESCO Agencies, N.A., Inc., 821 Second Avenue, Seattle, Washington 98104 ("FESCO Agencies").

III. JURISDICTION

The Commission has jurisdiction over this Complaint pursuant to §§ 4, 5, 6, 10, 11 and 19 of the Shipping Act. 46 U.S.C. *app.* 1703, 1704, 1705, 1709, 1710 and 1718.

IV. MATTER OF COMPLAINT

The circumstances that form the basis for this Complaint are as follows:

A. On May 13, 2004, the Presiding Administrative Law Judge issued a "Dismissal of Complaint with Leave to Amend; Motion for Summary Judgment Denied without Prejudice as Being Premature," which granted Trans-Net leave to file an Complaint.

B. At all times relevant to this Complaint, FOML purported to

operate as an ocean common carrier subject to the Shipping Act and to provide transportation between ports and places in the United States and ports and places in foreign countries, including ports and places in Russia, including the Russian Far East (“RFE”), subject to the Shipping Act. On information and belief, FOML does not operate vessels in any of these trades. This conduct is ongoing.

C. At all times relevant to the Complaint, upon information and belief, FOML acted in the westbound USWC-RFE trade as a common carrier that did not operate the vessels by which the ocean transportation was provided, and therefore acted as a shipper in its relationship with one or more ocean common carriers. This conduct is ongoing.

D. At all times relevant to this Complaint, Trans-Net operated in a market in the westbound United States West Coast-Russian Far East (“USWC-RFE”) trade in which there were approximately 80-100 customers who are regular shippers in this trade. These shippers consist of traders and manufacturers who are very sensitive to transportation costs. Trans-Net maintains constant awareness of the rates and charges assessed in the westbound USWC-RFE trade.

E. At all times relevant to this Complaint, in the USWC-RFE trade, FOML was Trans-Net’s primary competitor, and, as to several RFE destination ports in the USWC-RFE trade, FOML was Trans-Net’s only competitor.

F. Public information including rates, sailing schedules, and special announcements about FOML’s RFE service and FOML’s Australian service has been exhibited on a web site maintained by FESCO Agencies, describing FESCO Agencies as the “exclusive North American agent of the Far Eastern Shipping Company (FESCO).”

<http://www.fesco.com>. (“FESCO Agencies web site”). At this same web site, FESCO advertised service in United States foreign trades through FOML, doing business as FESCO Pacific Line (“FPL”) and FESCO Australia North American Line (“FANAL”). This conduct is ongoing.

G. At all times relevant to this Complaint, FOML’s advertised weekly westbound service in the USWC-RFE trade was on the vessels OOCL FRANCE, OOCL JAPAN, OOCL BRITAIN, OOCL NETHERLANDS, KATSURAGI and OOCL NEW YORK, among others. These vessels were identified in advertisements appearing on the FESCO Agencies web site, in third-party media and in direct solicitations to customers. The sailing schedule and service map on the FESCO Agencies web site advertised direct westbound service on these vessels between the United States West Coast and the RFE. See, www.fesco.com. This conduct is ongoing.

H. At all times relevant to this Complaint, the advertised regular weekly westbound service in the USWC-RFE trade was, in fact, provided through the device of transshipping cargo at an intermediate point, such as Busan, Korea, between the advertised vessels and other vessels for on-carriage to Russia. This conduct is ongoing.

I. At all times relevant to this Complaint, FOML, in the westbound USWC-RFE trade between ports and places in the United States West Coast and ports and places in Russia, regularly transshipped cargo from vessels operated by one ocean carrier to vessels operated by another ocean carrier at intermediate ports, including ports in Korea. This conduct is ongoing.

J. At all times relevant to this Complaint, FOML in its westbound USWC-RFE service did not operate between ports and places in the United States West

Coast and intermediate ports and did not operate between intermediate ports and ports and places in Russia as vessel operator. This conduct is ongoing.

K. FESCO's advertised vessel specifications for the FOML services shown on the FESCO Agencies web site provided, in fact, vessel specifications only for vessels identified in the FANAL United States West Coast-Australia/New Zealand trade and not for vessels identified in the USWC-RFE trade. The vessels identified in the FANAL service are the VLADIVOSTOK, the KAPITAN AFANSAYEV and the FESCO VOYAGER HENRIETTE SCHULTE. However, only the VLADIVOSTOK and the KAPITAN AFANSAYEV are identified in the FANAL sailing schedule as serving the USWC-Australia/New Zealand trade. See, www.fesco.com.

L. The Far East Shipping Company or FESCO, which is domiciled in the Russian federation, maintains a web site at <http://www.fesco.ru/eng/company/index.html>. ("FESCO web site"). This comprehensive web site contains detailed information concerning the company, including a list of the 75 vessels FESCO "owns and operates" in its "fleet". Included on the list of vessels owned and operated by FESCO are the VLADIVOSTOK and the KAPITAN AFANSAYEV.

<http://www.fesco.ru/eng/fleet/vessels/index.html>.

M. Also on the FESCO web site's list of vessels owned and operated by FESCO are the VASILY BURKHANOV and the KAPITAN MAN. At all times relevant to this Complaint, FOML purported to operate these vessels in a monthly service in the westbound USWC-RFE trade.

N. FESCO also maintains a list of "Subsidiaries" at its web site. FESCO Agencies is identified as FESCO's U.S. agent and 100% owned by FESCO. FOML is

not identified at the FESCO web site as a subsidiary of FESCO.

http://www.fesco.ru/eng/company/subsidiaries_and_affiliated.html.

O. Upon information and belief, FESCO and/or its agent FESCO Agencies operated as an ocean common carrier in the trades between the United States and Russia and between the United States and Australia/New Zealand without published rates and charges through the device of holding out FOML (which did not operate vessels in these trades) as the ocean common carrier. This conduct is ongoing.

P. In October 2001, FOML entered into an agreement with P&O Nedlloyd Limited ("P&O") providing special privileges on a regular basis to FOML, and which the parties claimed to be a non-exclusive transshipment agreement within the meaning of the Shipping Act. FOML has claimed further that it and P&O made direct vessel calls as required by Commission regulations as qualification for a non-exclusive transshipment agreement. 46 CFR § 535.306. The parties designated that agreement as a "Non-Exclusive Connecting Carrier Agreement" ("FOML-P&O connecting carrier agreement").

Q. The FOML-P&O connecting carrier agreement was an agreement whereby one party, P&O, provided vessel capacity on a regular basis, and not ad hoc, for the use of the other party, FOML, in exchange for compensation or services.

R. The FOML-P&O connecting carrier agreement was an agreement that controlled, regulated or prevented competition in the service between ports and places in the United States West Coast and ports and places in Russia and between such ports and intermediate ports, including ports in Korea.

S. The FOML-P&O connecting carrier agreement was not filed with the

Commission pursuant to § 5 of the Shipping Act, 46 U.S.C. *app.* 1704, or effective pursuant to § 6 of the Shipping Act, 46 U.S.C. *app.* 1705.

T. FOML and P&O subsequently cancelled their connecting carrier agreement and entered into a space charter agreement that was filed with the Commission and that became effective on April 26, 2004, FMC Agreement No. 011873 (“FOML-P&O space charter agreement”). This agreement applied to the trade from United States ports to Busan, Korea, but only with respect to FOML shipments that have subsequent carriage from Busan, Korea to ports in the RFE.

U. At all times relevant to this Complaint, P&O was a member of The Grand Alliance Agreement II, an agreement filed with the Commission as FMC Agreement No. 203-011602-3 or predecessor agreements (“The Grand Alliance”). The other members are Nippon Yusen Kaisha (“NYK”), Hapag-Lloyd Container Line GMBH and Orient Overseas Container Line Inc. (and its affiliates) (“OOCL”). P&O’s membership in The Grand Alliance is ongoing.

V. Under the FOML-P&O space charter agreement, FOML will not charter space on P&O’s vessels. FOML will charter space from P&O on space allocated to P&O by other members of The Grand Alliance on those members’ vessels. Neither FOML nor P&O will operate vessels carrying cargo between the USWC and Busan, Korea pursuant to the FOML-P&O space charter agreement.

W. The FOML-P&O space charter agreement specifically provides that the space allocated to FOML will be space allocated to P&O and not P&O vessel space. The FOML-P&O Space Charter prohibits FOML from: (a) using “the name “Grand Alliance” or the names of its members in connection with advertising FOML’s service to the

Russian Far East; and (b) using “the name ‘Grand Alliance’ or the names of the vessels operated by the Grand Alliance in third party media advertising with respect to its service to the Russian Far East;” but FOML is “permitted, in its direct advertising to its customers of its service to the Russian Far East, such as direct mailings of ship schedules, to use the names of the vessels,” but will in such advertising include the following disclaimer, “FOML is not a member of the Grand Alliance.”

X. FOML did not operate vessels for use in providing ocean transportation service pursuant to the FOML-P&O connecting carrier agreement and does not operate vessels for use in providing ocean transportation service pursuant to the FOML-P&O space charter agreement for westbound service between the USWC and Busan.

Y. Under the FOML-P&O connecting carrier agreement, FOML regularly utilized capacity or chartered space on vessels by Grand Alliance members, other than P&O, for the through transportation of cargo between ports and places in the United States West Coast and ports and places in the Russian Far East through the device of transshipping cargo between vessels operated by members of The Grand Alliance, other than P&O, and vessels operated by other ocean carriers (not ocean common carriers within the meaning of the Shipping Act) at intermediate ports, including ports in Korea, in the westbound USWC-RFE service.

Z. Under the FOML-P&O space charter agreement, FOML will regularly utilize capacity or charter space on vessels of Grand Alliance members, other than P&O, for the through transportation of cargo between ports and places in the United States West Coast and ports and places in the Russian Far East through the device of transshipping cargo between vessels operated by members of The Grand Alliance, other

than P&O, and vessels operated by other ocean carriers (not ocean common carriers within the meaning of the Shipping Act) at intermediate ports, including ports in Korea, in the westbound USWC-RFE service.

AA. Pursuant to service under the FOML-P&O connecting carrier agreement, FOML did not operate any vessels that called directly at ports in Russia or Korea or at ports in the United States West Coast; and FOML did not make direct vessel calls at any ports served pursuant to the FOML-P&O connecting carrier agreement. The same circumstances will exist for FOML's service under the FOML-P&O space charter agreement.

BB. Vessels listed in FOML's advertised weekly USWC-RFE westbound service included the OOCL FRANCE, KATSURAGI, OOCL JAPAN, OOCL BRITAIN, OOCL NETHERLANDS and OOCL NEW YORK, which are operated by The Grand Alliance members OOCL and NYK within The Grand Alliance service. This conduct is ongoing.

CC. At all times relevant to this Complaint, on information and belief, in the eastbound trade from Russia to the United States West Coast, FOML offered eastbound service and utilized capacity or chartered space on The Grand Alliance vessels or other vessels operated between Korean ports and United States West Coast ports. FOML utilized capacity or chartered space on different vessels serving between Russian ports and Korean ports. This conduct is ongoing.

DD. At all times relevant to this Complaint, on information and belief, FOML's eastbound service from Russia to the United States West Coast was not advertised at the FESCO Agencies web site. On information and belief, because FOML

in its westbound USWC-RFE service did not operate vessels between ports in the United States West Coast and intermediate ports and between intermediate ports and ports in Russia, FOML did not have an incentive to advertise for cargo for vessels on a return leg, eastbound from Russia to the United States West Coast via intermediate ports.

EE. On information and belief, P&O issued bills of lading to FESCO Agencies, with FESCO Agencies shown on the bills of lading as “shipper,” on shipments ex-United States ports for delivery to ports in Korea, such shipments being carried by P&O pursuant to the FOML-P&O connecting carrier agreement.

FF. At times relevant to this Complaint, FOML has advertised weekly westbound service in the USWC-RFE service using the name “Grand Alliance” or the names of the Grand Alliance members. This conduct is ongoing.

GG. At times relevant to this Complaint, FOML advertised in third-party media for FOML’s weekly westbound service in the USWC-RFE service using the names of the vessels operated by the Grand Alliance or by the members of the Grand Alliance in the advertising. This conduct is continuing.

HH. At times relevant to this Complaint, FOML advertised directly to its customers for FOML’s weekly westbound service in its USWC-RFE service using the names of the vessels operated by the Grand Alliance or by members of the Grand Alliance without disclaiming that FOML is a member of the Grand Alliance. This conduct is continuing.

II. At all times relevant to this Complaint, FOML advertised and offered regular, weekly service in the westbound USWC-RFE trade through the device of utilizing space or capacity or chartering space or capacity dedicated to FOML aboard

vessels operated under The Grand Alliance (but not P&O vessels) pursuant to the FOML-P&O connecting carrier agreement and, thereafter, pursuant to the FOML-P&O space charter agreement. This conduct is ongoing.

JJ. At all times relevant to this Complaint, on information and belief, the members of the Grand Alliance did not unanimously approve P&O's participation in the FOML-P&O space charter agreement, as required by the terms and conditions of The Grand Alliance agreement, since the FOML-P&O space charter agreement is the type of agreement that requires such approval before the agreement may be implemented by a Grand Alliance member. Similarly, the members of The Grand Alliance did not, on information and belief, unanimously approve the FOML-P&O connecting carrier agreement as required by The Grand Alliance agreement. This conduct is ongoing.

KK. At times relevant to this Complaint, on information and belief, FOML held itself out as a *de facto* member of The Grand Alliance and sought to enjoy the benefits of The Grand Alliance membership without assuming the concomitant obligations. As a direct result of FOML so misleading the public as to its affiliation with the Grand Alliance through direct and third-party advertising and other means, Trans-Net has been irreparably harmed financially as a result of the deceptive perception that FOML has been affiliated with the Grand Alliance, giving FOML an unfair competitive advantage.

LL. At all times relevant to this Complaint, on information and belief, FOML's activities, practices and conduct under the FOML-P&O connecting carrier agreement comprised a device to circumvent requirements for tariff publication

and agreement filing; to enable FOML to offer and provide services designed to mislead the public, and to prevent the Commission from exercising its statutory oversight of such conduct and activity as required by the Shipping Act.

MM. At all times relevant to this Complaint, FOML's activities, practices and conduct under the FOML-P&O connecting carrier agreement comprised a device to drive out competition; such activities and practices have had a detrimental impact on carriers serving the United States West Coast-Russia trade; such activities and practices threaten Trans-Net's ability to continue serving the United States West Coast-Russia trade, which Trans-Net has served for five years; and such activities and practices were, and continue to be, the proximate cause of financial harm to Trans-Net.

NN. FOML's activities, practices and conduct pursuant to the FOML-P&O connecting carrier agreement and pursuant to the FOML-P&O space charter agreement did not and will not qualify FOML as providing direct vessel calls in its westbound USWC-RFE service and did not and will not qualify FOML as operating as an ocean common carrier in the westbound USWC-RFE trade.

OO. FOML has obtained space at unpublished rates from ocean common carriers in the westbound USWC-Korea trade, particularly P&O, in connection with FOML's westbound USWC-RFE service. These unpublished transportation rates received by FOML were not in accordance with a service contract or in accordance with a published tariff. Rather, FOML obtained the unpublished rates by entering into and implementing the FOML-P&O connecting carrier agreement and the FOML-P&O space charter agreement although FOML lacked ocean common carrier status to enter into and implement such agreements. Further, FOML was enabled by its participation in those

agreements to provide a purported through service without meeting the requirements for providing such service since FOML did not provide direct vessel calls in the westbound USWC-RFE trade.

PP. FOML, by obtaining the unpublished rates through agreements with ocean common carriers and by knowing Trans-Net's published NVOCC rates, was able to undercut Trans-Net's rates and was able to divert cargo from Trans-Net by tariff or service contract and deprive Trans-Net of cargo that Trans-Net otherwise would have carried but for the implementation of agreements with P&O that FOML did not have the necessary status to implement. Trans-Net would have carried the cargo carried by FOML as to several RFE destinations served only by Trans-Net and FOML; and Trans-Net would have carried a substantial percentage of cargo carried by FOML as to other destinations ports served by a small number of carriers, resulting in lost growth opportunity and serious economic and financial hardship to Trans-Net.

QQ. On information and belief, FOML rated cargo not in accordance with FOML's published tariff or filed service contracts and provided service not in accordance with the terms of FOML's published tariff or service contracts. On more than one shipment, FOML provided transportation and assessed charges with respect to certain commodities destined to Magadan, Russia as to which no rates appeared in FMOL's tariff and service contract. Further, on at least one occasion, FOML carried cargo in its westbound USWC-RFE service and assessed different freight charges for identical shipments carried by the same vessel between the same port pairs. This unlawful conduct resulted in this cargo being diverted from Trans-Net, depriving Trans-Net of the ability to transport the cargo to its financial disadvantage.

RR. On information and belief, FOML, through its conduct and activities in the trades it purported to serve as an ocean common carrier, actually acted as a non-vessel-operating common carrier in that FOML did not operate any vessels and FOML provided common carrier service to its customers and shippers by using space on vessels operated by other ocean carriers. FOML does not appear as a non-vessel-operating common carrier on the Commission's Ocean Transportation Intermediary ("OTI") list located at the Commission's web site. As a direct consequence of FOML misrepresenting its status as an ocean common carrier and failing to comply with the Commission's OTI regulatory requirements, FOML unlawfully provided NVOCC services in the westbound USWC-RFE trade, diverting cargo from Trans-Net and depriving Trans-Net of cargo that, but for FOML's unlawful activities, would have been carried substantially by Trans-Net.

SS. As a direct result of FOML's unlawful actions described in the preceding paragraphs, Trans-Net suffered lost profits and lost growth opportunities; and, in addition, FOML's diversion of cargo from Trans-Net proximately caused Trans-Net's inability to meet all service contract cargo minimums, forcing Trans-Net to roll over contracts in order to avoid the imposition of liquidated damages. The resultant financial harm to Trans-Net was, for example, that it could not secure the low range of service contract rates on the service contract matrix maintained by the ocean common carriers or obtain favorable consideration by the ocean common carriers in order to mitigate general rate increases, all of which have had a negative impact on Trans-Net's profit margin.

TT. As a direct consequence of Trans-Net filing a Complaint against FOML in FMC Docket No. 03-08, FOML caused retaliatory action against Trans-Net, which is a shipper in its relationship with ocean common carriers, by engaging in unfair methods,

such as interfering in Trans-Net's contractual relationships with Trans-Net's employees and former employees and in seeking to obtain Trans-Net's legally protected, confidential business information.

V. VIOLATIONS OF THE 1984 ACT AND COMMISSION REGULATIONS

By reason of the facts stated in the foregoing Parts I-IV of this Complaint which are incorporated herein as if fully set forth, Trans-Net has been and is continuing to be subjected to injury as a direct result of violations of the Shipping Act and Federal Maritime Commission regulations as follows:

(A) § 5, 46 U.S.C. *app.* 1704. FOML, either alone or in concert with other persons, failed to file with the Commission the FOML-P&O connecting carrier agreement that was an agreement within the scope of § 4 of the Shipping Act, 46 U.S.C. *app.* 1703.

(B) § 10(a)(1), 46 U.S.C. *app.* 1709(a)(1). FOML knowingly and willfully, directly or indirectly through the implementation of unlawful connecting carrier and/or space charter agreements engaged in the unfair device of obtaining ocean transportation for property at unpublished rates that were less than the rates or charges that would otherwise apply by misrepresenting their carrier status.

(C) § 10(a)(2), 46 U.S.C. *app.* 1709(a)(2); 46 CFR 535.901. FOML alone or in concert with other persons has operated under a connecting carrier agreement required to be filed with the Commission under § 5 of the Shipping Act and that did not become effective under § 6 of the Shipping Act. 46 U.S.C. *app.* 1705.

(D) § 10(a)(3), 46 U.S.C. *app.* 1709(a)(3). FOML operated under the FOML-P&O space charter agreement that became effective, except that FOML did not operate in

accordance with the terms and conditions of the agreement concerning advertising of the services to be provided under the agreement.

(E) § 10(b)(1) and § 10(b)(2)(A), 46 U.S.C. *app.* 1709(b)(1) and 1709(b)(2)(A). FOML allowed persons to obtain transportation for property at less than the rates or charges established by FOML in its published tariff or service contract on more than one bill of lading by means of charging rates below the rates that would otherwise be applicable to the shipment or at rates not appearing in FOML's tariff or service contract; and FOML did not provide service in accordance with the rates, charges, classifications, rules and practices contained in its tariff in connection with assessing different rates for the same cargo on the same vessel, on the same voyage and between the same ports.

(F) § 10(b)(3), 46 U.S.C. *app.* 1709(b)(3). FOML retaliated against Trans-Net, in its capacity as a shipper, by resorting to unfair or unjustly discriminatory methods such as interfering in Trans-Net's contractual relationships with Trans-Net's employees and former employees and in seeking to obtain Trans-Net's legally protected, confidential business information because Trans-Net filed a Complaint against FOML.

(G) § 10(d)(1), 46 U.S.C. *app.* 1709(d)(1). FOML has failed to establish and maintain reasonable regulations and practices in connection with the receiving, handling, storing or delivering of property through their misrepresentation to the shipping public of FOML's purported affiliation with The Grand Alliance, which has resulted in FOML obtaining cargo through such unreasonable practice.

(H) § 19(a), 46 U.S.C. *app.* 1720(a). FOML acted as a non-vessel-operating common carrier in the USWC-RFE trade without holding an ocean transportation

intermediary license issued by the Commission, providing the requisite financial responsibility or, as a non-US-based NVOCC, failing to submit the necessary proof of financial responsibility.

(I) FOML may have committed additional violations of the Shipping Act and Commission regulations that may be revealed in the course of the proceeding.

(J) The foregoing violations by FOML are continuing in nature and as such are incorporated in this Complaint.

VI. INJURY SUFFERED BY COMPLAINANT

By reason of the violations of §§ 10 and 19 of the Shipping Act and § 535.901 of the Commission's regulations as set forth in Part V of this Complaint, Trans-Net has suffered and will continue to suffer substantial, potentially irreparable, direct and indirect monetary injury, to be proved during the proceeding.

VII. PRAYER FOR RELIEF

Trans-Net prays that FOML be required to answer the charges herein; that after due investigation and hearing FOML be found to have violated §§ 5, 10 and 19 of the Shipping Act and § 535.901 of the Commission's regulations, as aforesaid, and such other provisions of the Shipping Act and Commission regulations as to which violations may be proved hereunder; that FOML be ordered to cease and desist from the aforementioned violations; that FOML be ordered to pay reparation for the injury caused to Trans-Net by such violations described herein above, including interest and attorney's fees; and that Trans-Net be granted such other and further relief as the Commission determines to be proper in the premises.

Complainant did not utilize informal dispute resolution procedures and did not

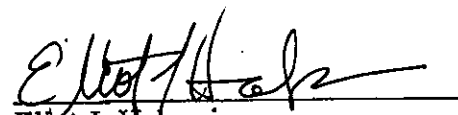
consult with the Commission's Dispute Resolution Specialist about utilizing the Commission's ADR program prior to filing this Complaint.

Trans-Net requests that the hearing be held in Washington, D.C.

Respectfully submitted,



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202-261-1000

Attorneys for Trans-Net, Inc.

Dated: June 24, 2004

VERIFICATION

I, Peter Moe, President of Trans-Net, Inc., signed the foregoing Amended Complaint, and I state under penalty of perjury that I believe the facts stated

therein to be true and correct, upon my knowledge, information and belief.

Rob Mue